



Sri Lanka Institute of Information Technology

B.Sc. Honours Degree in Information Technology

Specialized in Information Systems Engineering

Final Examination

Year 3, Semester 1/2 (2025)

IE3021 – Organizational Business Fundamentals I

Duration: 3 Hours

June 2025

Instructions to Candidates:

- ◆ This paper has FIVE (05) questions.
- ◆ Answer all questions in the booklet given.
- ◆ The total marks for the paper is 100.
- ◆ This paper contains 4 pages, including the cover page.
- ◆ Students can refer to the referral A4 sheet during the Final Examinations.
- ◆ Electronic devices capable of storing and retrieving text, including calculators and mobile phones are not allowed.

Question 01:**(20 Marks)**

"In modern organizations, applying the correct management theory is not about tradition, it's about fit. The success of a company often hinges on how well its leaders apply theoretical principles in the real world."

- a) Analyze how Scientific Management principles could be adapted and implemented in a chosen organization to improve operational efficiency. Support your response with specific examples.

(10 Marks)

- b) Evaluate the relevance and limitations of Scientific Management in contemporary organizations characterized by autonomy, innovation, and employee empowerment.

(10 Marks)

Question 02:**(20 Marks)**

"There is no one best way to manage." – This belief underpins modern management practices where flexibility, context, and responsiveness are more valued than rigid adherence to rules.

- a) Analyze a recent organizational crisis and evaluate how Contingency Theory informs the choice of leadership or management approach. Highlight the interplay between context and decision-making.

(10 Marks)

- b) Analyze two key factors that impact the effectiveness of a management approach based on Contingency Theory and explain their significance in shaping decision outcomes.

(10 Marks)

Question 03:**(20 Marks)**

"Delegation means giving responsibility to others, but accountability stays with you."

Organizations often misunderstand the balance between **authority, responsibility, and accountability**, leading to dysfunctional outcomes.

- a) Analyze a real or hypothetical case of organizational failure due to a mismatch between authority, responsibility, and accountability. Clearly explain who held authority, who was assigned the task, and who ultimately faced the consequences. (10 Marks)
- b) Evaluate the effectiveness of different authority types (line, staff, functional) in addressing the identified failure. Recommend the most suitable type and justify your reasoning. (10 Marks)

Question 04:**(20 Marks)****Case Study:**

Sanjana is a project lead at a software company. Although her salary is competitive, she recently expressed feeling demotivated and overlooked. Despite meeting deadlines and delivering high-quality work, she feels her contributions go unrecognized. Meanwhile, junior staff who work under highly appreciative managers report high satisfaction, even with lower pay.

- a) Analyze the case of Sanjana by applying Herzberg's Two-Factor Theory. Identify specific hygiene and motivator factors that are present or absent and explain how each contributes to her experience of dissatisfaction. (10 Marks)
- b) Explain how Herzberg's Two-Factor Theory could guide practical actions by the HR department to improve Sanjana's motivation. (10 marks)

Question 05:**(20 Marks)**

"Marketing is not the art of finding clever ways to dispose of what you make. It is the art of creating genuine customer value." – Philip Kotler

EcoPure, a tech startup producing eco-friendly water purifiers, focuses on creating the best possible product with advanced purification features. Despite having a superior product and solid engineering, sales remain stagnant. The company blames low public awareness and poor advertising. Meanwhile, customer surveys reveal a lack of connection between the product and customer lifestyle needs.

- a) Evaluate EcoPure's current marketing orientation and assess its effectiveness in today's customer-driven market environment. Provide evidence from the case to support your judgment.

(10 Marks)

- b) Propose and justify a shift toward a more appropriate marketing orientation that could help EcoPure align better with consumer needs and enhance market performance.

(10 Marks)

--End-of-Question-Paper--